# Cover Letter

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**To:** The Editor, Journal of Financial Economics

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Dear Editor,

We are pleased to submit our manuscript, **"Beyond the Rate: Information Content of FOMC Forward Guidance Language,"** for consideration for publication in the *Journal of Financial Economics.*

### Summary

This paper investigates whether the language of FOMC statements conveys information beyond the immediate policy rate decision. Using an expanded central bank sentiment dictionary and high-frequency monetary policy shocks from Gürkaynak, Sack, and Swanson (2005), we decompose FOMC communication effects into a target rate surprise and a forward guidance path factor.

### Key Contributions

1. **Direct textual evidence for the information channel.** We show that the path shock — capturing forward guidance about future monetary policy — is the primary driver of FOMC statement sentiment ($p = 0.017$), while the target rate surprise is only marginally significant ($p = 0.102$). This provides novel textual evidence complementing the structural identification approach of Jarociński and Karadi (2020).

2. **Quantification of identification attenuation.** Using the same FOMC statement corpus, the $R^2$ of the sentiment-surprise regression increases from 0.17% with naive rate changes to 4.12% with properly identified high-frequency shocks — a 24-fold improvement. This demonstrates the severe consequences of using low-frequency proxies in monetary policy event studies.

3. **Institutional-grade data analysis.** We combine CRSP daily market returns accessed through WRDS with high-frequency monetary policy shocks from Acosta (2022), and conduct

a financial sector event study using 910 CRSP-listed financial stocks. This represents a significant data quality upgrade over studies relying on freely available sources.

## Why This Paper Fits JFE

This paper sits at the intersection of monetary economics and asset pricing — two core areas of the *Journal of Financial Economics*. Our findings speak directly to the literature on the information content of monetary policy (Kuttner, 2001; Gürkaynak et al., 2005; Nakamura and Steinsson, 2018), the Fed information effect (Cieslak et al., 2019; Jarociński and Karadi, 2020), and the methodology of event studies in financial economics (Brown and Warner, 1980). The paper also contributes to the growing literature on textual analysis in finance (Loughran and McDonald, 2011; Hansen et al., 2018).

## Declarations

- This manuscript has not been published and is not under consideration elsewhere.
- All data used in this study are from publicly available sources (Acosta, 2022; FRED; Federal Reserve website) or institutional databases (WRDS/CRSP) with proper access.
- The authors have no conflicts of interest to disclose.
- We have used no AI-generated content in the preparation of this manuscript beyond standard computational tools for data analysis.

We believe this paper makes a substantive contribution to understanding how central bank communication transmits information to financial markets, and we hope you will find it suitable for the *Journal of Financial Economics*.

Thank you for your consideration.

Sincerely,

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